

REVENUE MEMORANDUM CIRCULAR NO. 25-2023 issued on February 20, 2023 circularizes Republic Act No. 11314, titled “An Act Institutionalizing the Grant of Student Fare Discount Privileges on Public Transportation and for Other Purposes”.

The Act shall cover all public transportation utilities such as, but not limited to, Public Utility Buses (PUBs), Public Utility Jeepneys (PUJs), taxis and other similar vehicles-for-hire, tricycles, passenger trains, aircrafts and marine vessels. The application of this Act does not cover school service, shuttle service, tourist service, and any similar service covered by contract or charter agreement and with valid franchise or permit from the Land Transportation Franchising and Regulatory Board (LTFRB).

The fare discount granted shall be available during the entire period while the student is enrolled, including weekends and holidays: Provided, That, in a case where a promotional fare, as approved by the concerned regulatory agency, is granted by a public transportation utility operator, the student shall have the option to choose between the promotional fare and the regular fare less the discount as provided under this Act.

A student shall be entitled to a grant of twenty percent (20%) discount on domestic regular fares, upon personal presentation of their duly issued school identification cards (IDs) or current validated enrollment form, supported by the prescribed government-issued identification document, subject to an appropriate verification mechanism to be provided in the Implementing Rules and Regulations (IRR): Provided, That in the case of air public transportation utilities, the discount shall only apply to the base fare or the price of the ticket before taxes and costs for ancillary services.

The privileges shall not be claimed if the student claims a higher discount as may be granted by the public transportation utility, or under other existing laws, or in combination with other discount programs or incentives.

The public transportation utility operator may claim as tax deduction the student fare discount herein granted based on the cost of the services rendered: Provided, That the cost of the discount shall be allowed as deduction from gross income for the same taxable year that the discount is granted: Provided, further, That the total amount of the tax deduction net of Value-Added Tax, if applicable, shall be included in their gross sales receipts for tax purposes and shall be subject to proper documentation and to the provisions of the National Internal Revenue Code, as amended.